(d) Closing stock was valued at ₹ 15,000.

(**Answer**: Gross profit: ₹ 15,125; Net profit ₹ 6,100, Balance sheet total ₹ 60,100)

13. From the following trial balance of Ramesh as on 31st March, 2017, prepare the trading and profit and loss account and the balance sheet as on that date.

Particulars	Debit ₹	Credit ₹
Stock (01.04.2016)	40,000	
Purchases	85,000	
Sales		1,90,000
Sundry creditors		48,000
Furniture and fixtures	65,000	
Debtors	45,000	
Cash at bank	21,000	
Wages	37,500	
Drawings	15,000	
Telephone charges	3,000	
Bad debts	2,000	
Provision for bad debts		2,500
Discount received		3,000
Capital		85,000
Advertising	15,000	
	3,28,500	3,28,500

Adjustments:

(a) Closing stock was valued at ₹ 35,000

(b) Unexpired advertising ₹ 250

(c) Provision for bad and doubtful debts is to be increased to ₹ 3,000

(d) Provide 2% for discount on debtors.

(e) Charge interest on drawings @ 10%.

(**Answer**: Gross profit ₹ 62,500; Net profit ₹ 45,910; Balance sheet total ₹ 1,62,410)

14. Following are the ledger balances of Devi as on 31st December, 2016.

Debit balance	₹	Credit balance	₹
Purchases	35,000	Goodwill	40,000
Salaries	11,750	Sundry debtors	20,500
Drawings	4,500	Furniture	31,000
Opening Stock	6,250	General expenses	3,250
Capital	50,000	Commission received	2,750
Sales	78,500	Loan	44,000
Carriage inwards	21,800	Cash at bank	3,100
Bad debts	600	Provision for bad debts	2,500

Prepare trading and profit and loss account for the year ended 31st December, 2016 and balance sheet as on that date.

(a) Stock on 31st December, 2016 ₹ 5,800.

(b) Write off bad debts ₹ 500.

(c) Make a provision for bad debts @ 5%.

(d) Provide for discount on debtors @ 2%.

(**Answer:** Gross profit: ₹21,250; Net profit ₹9,020, Balance sheet total ₹98,520)

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